The stock of China's outward FDI in places other than Hong Kong is less than US$118 billion, which is less than a tenth of the Chinese holding of US Treasury bonds. After all, no other market except the US debt market has liquidity deep enough to absorb China's mammoth reserves. Paul Krugman was not exaggerating when he claimed that China had been caught in a 'dollar trap', in which it had few choices other than to keep purchasing US Treasury bonds, helping to perpetuate the hegemonic role of the dollar.

Though China has the geopolitical autonomy that theoretically enables it to end its dependence on the dollar and even end the dollar standard, in reality it has been helping perpetuate the standard, and hence US geopolitical dominance, through its insurmountable addiction to US Treasury bonds caused by its export-driven growth. Compared to China's $1.2 trillion holding of US Treasuries, the BRICS bank forex reserve pool of $100 billion and China's pledged contribution of $400 billion are little more than a drop in the ocean.

The Chinese government has been recently emphasising its ambition to internationalise the RMB into a major reserve and international transaction currency as a way to maintain its export-oriented model while reducing its holding of US dollars, hence curbing its addiction to US public debts. But in actuality, the Chinese RMB, which is not yet a fully convertible currency, has a long way to go to become a major international currency. Its share in international currency use is minuscule, falling way behind the British pound and the yen, and even the Mexican peso (see Table 1). The RMB's rise to the status of a significant international currency will require RMB's full convertibility, which in turn needs China's financial liberalisation. This process will take time, even if the reluctant CCP finally agrees to take the very risky step of fully opening up its banking sector to the global economy. This step is far from an easy choice for the party-state, as such opening up would be a blow to its command of the economy via its control of credits. Before such radical shift on the part of China, the talk about the death of the global dollar standard and US global dominance under a China challenge will remain little more than a fantasy.

## Reference

Ho-fung Hung (2015) *The China Boom: Origins, Global Impacts, and Demise*, New York, Columbia University Press